SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會
12th Floor, Edinburgh Tower, The Landmark, 15 Queen's Road Central, Hong Kong
香港中環皇后大道中十五號置地廣場公爵大廈十二樓

Our Ref : IS/023/2002

22 July 2002

Circular to All Securities Dealers
Segregation of Duties

In some of the recent cases of misappropriation of client assets, the misappropriation was committed by staff who combined settlement and account executive functions. In most of the staff misappropriation cases, the misappropriation of client assets was made possible by the settlement clerk making sure that the relevant clients never received any contract notes and statements of account issued by the dealer.

The SFC wishes to take this opportunity to stress again to intermediaries the risk faced by securities dealers whose staff are allowed to perform both the settlement and dealing functions.

Some intermediaries claim that for cost consideration, they need to deploy staff to perform both front office and back office duties. We cannot stress enough how important it is to segregate operational functions in order to minimize the potential for conflicts, errors or abuses which may expose the dealer and/or its clients to inappropriate risks.

You have already been warned of similar pitfalls in one of our earlier circulars on misappropriation (a copy is attached herewith for your easy reference). We would urge you again to critically review your organization structure and ask yourself the following questions:

(a) Is the segregation of duties in my firm adequate?

(a) If not, cannot I compensate for this by management supervision?

Should you have any questions regarding the contents of this circular, please do not hesitate to contact Ms Madonna Yip at 2842 7618.

Intermediaries & Investment Products
Securities and Futures Commission

Encl.

Analysis of Misappropriation of Assets Cases

Introduction

1. Recently, there has been an increase in the number of cases of misappropriation of company or client assets by brokers' employees. In most cases, estimated losses were within the brokers' means and the clients were fully compensated. In some cases, however, the losses could not be covered and the SFC had to restrict the broker's business in order to protect clients' interest and prevent systemic risk to the market.

2. In analysing these cases, the SFC noted that brokers and clients could have avoided loss if they had been more vigilant in protecting their interests. Effective supervision and sound internal control practices are the first line of defence for brokers to guard against fraudulent practices committed by their staff. Investors should always be on their guard about possible fraudulent activities on their accounts.

3. The great majority of brokers and account executives are honest but some are not. Regulation cannot prevent all cases of dishonesty. The best protection is a combination of focussed regulation, sound management of broking firms and well informed, alert investors. In this paper, the SFC will share with the industry its analysis of practices that led to misappropriation of company or client assets by brokers' employees. By encouraging the industry to take precautionary steps against the practices and by educating investors about what they need to watch out for, it is hoped that fraudulent activities will be reduced as much as possible.

General Profile of Misappropriation Cases

4. The general profile of misappropriation cases is as follows:

   - There was no clear segregation of duties between incompatible functions.

   - Management often trusted key or prominent employees and did not question their activities or decisions.

   - There was no established compliance culture, or internal control was generally lax. This provided opportunities for dishonest employees to abuse their positions and commit fraudulent activities. For example:

     - There was lack of control over third party cheques for settlement;

     - Hold mail arrangements are not properly supervised;

- Discretionary accounts are not properly supervised;

- Short form statements of account are issued to clients;

- There was inadequate control over critical stationery; and

- There was inadequate control over stock entries.

It can be particularly difficult in a small firm to segregate key duties and there will often be a need to rely heavily on key employees. The management of small firms have a special responsibility to closely monitor and control operational risks. Small firms are at risk of misappropriation.

5. Most dishonest employees were account executives. In some cases, they were Dealing Directors or settlement staff. Clients or related parties might also be involved in alleged fraudulent activities.

6. Frauds were made easier because investors' were not alert to possible irregularities. Investors were susceptible to different kinds of inducement by dishonest employees. For example:

- Authorizing discretionary trading where it was not required;

- Allowing for hold mail instructions without independent checking of their account details;

- Giving blank signed cheques to account executives;

- Depositing money directly into account executives' bank accounts;

- Allowing account executives to hold share certificates; and

- Accepting account executives' explanations when they noted discrepancies in their statements of accounts.

Looked at in the cold light of day, some of these examples may seem far-fetched or unlikely but each is taken from a real and recent case of misappropriation.

Common Tricks Used

7. Dishonest employees are opportunists like common burglars or thieves. They are quick to spot loopholes in brokers' operations or a lack of investor awareness. They will then ride on these opportunities for their own benefit.

8. The SFC analysed recent misappropriation cases and noted that most of them have similar facts. The fraudulent steps used by dishonest employees in these cases typically involved:

- Unauthorized trading on clients' accounts;

- Suspected conspiracy with clients or related third parties;

- Fraudulent withholding of clients' settlement cheques, contract notes or statements of accounts under the pretext of proper client authorization;

- Fraudulent amendment of client addresses and interception of clients' mail at an account executive's nominated address;

- Inducement for clients to:
  - deposit money into an account executive's bank accounts;
  - give blank signed cheques to an account executive; and
  - give share certificates to an account executive;

- Fraudulent usage of clients' cheques to settle other clients' outstanding balances;

- Fraudulent endorsement of clients' cheques by falsifying the clients' signatures; and

- Concealment of fraudulent activities by producing forged statements of accounts for delivery to clients.

9. These fraudulent activities involve arrangement to move or transfer investors' assets. This was done by inducing investors to surrender their signed cheques, or by fraudulently transferring the settlement cheque from one client account to another. Very often, the latter account was a nominee account controlled by the dishonest employee. In order to conceal the fraudulent activities, dishonest employees typically gained access to the genuine statements of accounts prepared from the broker firms' back office systems, and replace them with forged statements that were posted or handed to investors.

Analysis of Broker's Internal Control System Leading to Fraudulent Activities

10. We have observed common deficiencies in brokers' management and supervision system including:

- **Inadequate supervision by management**

  In many instances, dishonest employees were key account executives who brought in a lot of clients. With management's express knowledge or tacit agreement, these account executives were not always required to observe internal control procedures. This was especially so for control procedures over segregation of incompatible duties between front office and back office functions. For example, back office staff amended the client master database (including mailing addresses) in brokers' back office systems upon an account executives' instructions without asking for any evidence of authorisation. Back office staff also passed to account executives the statements of accounts for clients upon account executives' instructions believing that the same would be dispatched to clients. All these created opportunities for fraudulent activities.

- **Lack of control over client discretionary accounts**

  Broker firms did not recognise the higher risks associated with discretionary accounts, nor did they exercise any proper control over the dealing activities on them. As a result, the operation of nominee accounts by dishonest employees escaped the notice of management. Neither was unauthorised trading on client accounts spotted by management.

- **Lack of control over use of third party cheques for settlement**

  Broker firms did not prohibit the use of third party cheques for settling clients' buy transactions or for reducing outstanding balances. As a result, dishonest employees were able to convert the settlement cheque addressed to the broker firm from one client account to another without any questioning from the settlement department. Very often, the latter account was a nominee account controlled by the dishonest employee. After fraudulently applying the settlement cheque, the nominee account balance turned from deficit to surplus. This enabled the nominee account holder to legitimately withdraw cash from the account under a false cover.

- **Hold mail arrangement**

  A hold mail arrangement was present in all recent misappropriation cases. Under this arrangement, back office staff did not mail contract notes, statements of accounts or settlement cheques directly to clients. Instead, they handed these documents to account executives for onward dispatch to clients.

Account executives obtained clients' mail through the following means:

- Giving instructions to back office staff with clients' proper written authorisation. These clients were induced by the account executives to give the authorization without clearly understanding the risks involved;

- Giving instructions to back office staff without clients' proper written authorisation. Back office staff used to comply with account executives' request without asking questions;

- Intercepting mail through fraudulent means. This was done by stealing mail from insecure location in a broker firms' office premises, or by falsely changing the clients' addresses to the dishonest employees' nominated addresses.

A hold mail arrangement is a commonly used by dishonest employees to perpetuate frauds over a long period of time, and prevents frauds from being noticed by broker firms and investors.

- **Lack of control over computer system and database**

  Management and back office staff did not appreciate the risks associated with unauthorised amendment of back office computer systems and customer databases. Consequently, there was no enforcement of procedures over proper amendment of client details. This facilitated fraudulent amendment of computer programs or client databases, and interception of clients' mail.

- **Inadequate control over important stationery / documents**

  Brokers were found to have left company chops, blank client agreements, contract notes, settlement cheques, and statements of accounts in unsecure cabinets. This facilitated unauthorised access and forgery of documents. In one instance, an account executive stole a signed settlement cheque and endorsed the cheque by falsifying the client's signature.

- **Inadequate control over stock entries made to settlement systems**

  Some broker firms were found to lack internal control procedures to prevent unauthorised access to back office systems. Furthermore, they did not enforce compulsory reconciliation of stock entries made to client records with supporting documents. As a result, a settlement clerk was able to fraudulently transfer stock from one account to another to cover up oversold positions. In order to conceal her fraudulent activities, the settlement clerk regularly transferred dividends to the aggrieved party's bank account.

- **Adoption of abridged version for statements of accounts**

  Some brokers, acting in contravention of the Code of Conduct for Persons Registered with the Securities and Futures Commission, only sent abridged statements of accounts to cash clients showing their month-end stock positions, without giving details of movement of transactions or month-end account balances. This made the dishonest employees' task of falsifying the statements of accounts simpler and easier.

Enhancement of Brokers' Internal Control System

11. Going forward, brokers should be alert to the importance of the following:

- **Supervision over employees**

  - To exercise adequate control over key or prominent employees, particularly their dealing activities over discretionary accounts.

  - To strictly enforce segregation of duties between front office and back office functions or where the size of the firm makes this difficult accept responsibility for direct and close management supervision of risks.

  - To ensure that there is a proper client complaint procedure for handling discrepancies noted in client statements of accounts. It will be useful to advise a client to contact a designated independent member of staff if any discrepancies in the account balance or stock holding are noticed. These procedures should be included in a prominent notice written in both English and Chinese language upon opening of account or in the statement of account.

  - To have an independent staff member confirm clients' account and stock balances on a random, regular basis and to follow up discrepancies immediately.

- **Control over dealing activities**

  - To have an independent staff member regularly review dealing activities on a random, regular basis.

  - To require dealing staff to exercise caution when the receive instructions from a third party in respect of an account and to report exceptions to management.

- **Control over settlement activities**

  - To take particular care when processing third party cheques.

  - To issue proper statements of accounts to clients. Abridged versions showing only month end stock balances, are in contravention with SFC Code of Conduct, and are more susceptible to forgery.

- **Control over hold mail arrangement**

  - To prohibit hold mail arrangements without proper, compensating controls. If a client insists on such an arrangement, the client should be invited to meet with an independent staff member who will explain the risks involved. The client should also be required to confirm account balances on a regular basis.

- **Control over stationery / documents**

  - To have proper control over access to all cheques and all critical stationery such as contract notes and statements of accounts. This will include blank ones too. As a minimum, they should be kept in secure cabinets.

- **Control over access to and changes to computer systems**

  - To strictly enforce security measures over access to computer systems.

  - To exercise strict control over amendment of computer programs and customer information databases, with particular reference to clients' mailing addresses;

  - To ensure that entries made to a client's account are promptly reconciled to supporting documents.

Discussion with SFC

You are welcome to discuss with the Commission staff any of the above suggested procedures or obtain further information about misappropriation. Please call our hotline 2842-7696. The staff of the Intermediaries Supervision Department of the SFC will be pleased to provide further advice.